



Market Monitor

No.16 – March 2014

www.amis-outlook.org

*The **Market Monitor** is a product of the [Agricultural Market Information System \(AMIS\)](#). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.*

Contents

World Supply-Demand Outlook	1
Crop Monitor	2
International Prices.....	4
Policy Developments	6
Futures Markets.....	7
Market Indicators	8
Explanatory Notes and Calendar	10



WORLD TRADE
ORGANIZATION

World Supply-Demand Outlook

While possible slowing down of grain exports from Ukraine because of escalated geopolitical tensions is a concern in the short term, bumper crops in several major producing countries are likely to boost supplies and to result in much higher world stocks in 2014 for maize, wheat, rice and soybean. The early outlook for wheat crops to be harvested in 2014 is positive. The soybean supply situation remains favourable even if conditions in South America deteriorated in recent weeks due to adverse weather.

	From previous month f'cast	From previous season
Wheat	▲	▲
Maize	▲	▲
Rice	■	▲
Soybeans	▼	▲
	▲ Easing ■ Neutral ▼ Tightening	

	million tonnes				FAO-AMIS		
	USDA		IGC		2012/13		2013/14
	2012/13 est.	2013/14 f'cast 10-Feb	2012/13 est.	2013/14 f'cast 27-Feb	2012/13 est.	2013/14 f'cast 6-Feb	2013/14 f'cast 6-Mar
WHEAT							
Production	656	712	655	708	660	714	716
Supply	855	888	847	880	841	872	875
Utilization	679	704	674	691	685	693	690
Trade	137	159	140	146	140	143	146
Ending Stocks	176	184	173	190	159	176	179

- **Wheat** production estimate for 2013 raised by 2 million tonnes on larger crops than anticipated in Australia.
- Utilization in 2013/14 decreased, reflecting downward adjustments to feed use in China and the EU.
- Trade forecast for 2013/14 raised, owing to larger imports by Afghanistan, Bangladesh and Egypt.
- Stocks (ending in 2014) to increase more than earlier anticipated due mostly to higher build-up of inventories in Asia.

	million tonnes				FAO-AMIS		
	USDA		IGC		2012/13		2013/14
	2012/13 est.	2013/14 f'cast 10-Feb	2012/13 est.	2013/14 f'cast 27-Feb	2012/13 est.	2013/14 f'cast 6-Feb	2013/14 f'cast 6-Mar
MAIZE							
Production	863	967	861	959	875	1000	1006
Supply	996	1101	992	1086	1010	1132	1138
Utilization	862	943	865	932	880	945	950
Trade	94	114	96	110	101	106	107
Ending Stocks	134	157	127	154	131	175	175

- **Maize** production estimate for 2013 raised, mostly on higher production in China and the US.
- Utilization to increase significantly in 2013/14, sustained by strong growth in feed use.
- Trade forecast in 2013/14 up from 2012/13, boosted by lower prices and large export availabilities.
- Stocks (ending in 2014) to build up, mainly driven by a recovery in the US.

	million tonnes				FAO-AMIS		
	USDA		IGC		2012/13		2013/14
	2012/13 est.	2013/14 f'cast 10-Feb	2012/13 est.	2013/14 f'cast 27-Feb	2012/13 est.	2013/14 f'cast 6-Feb	2013/14 f'cast 6-Mar
RICE							
Production	470	472	470	473	491	494	494
Supply	574	578	577	583	652	668	669
Utilization	467	473	468	474	478	489	489
Trade	39	40	37	39	37	38	38
Ending Stocks	107	105	110	109	175	179	179

- **Rice** production to rise only modestly in 2013, constrained by declining outputs in China, the EU, Thailand and the US.
- Utilization in 2013/14 to increase vigorously, with consumption boosted in India by cheap government distribution.
- Trade in 2013 likely to match the 2012 record, as lower prices stimulate imports.
- Stocks (ending in 2014) to rise, as production continues to exceed utilization.

	million tonnes				FAO-AMIS		
	USDA		IGC		2012/13		2013/14
	2012/13 est.	2013/14 f'cast 10-Feb	2012/13 est.	2013/14 f'cast 27-Feb	2012/13 est.	2013/14 f'cast 06-Feb	2013/14 f'cast 06-Mar
SOYBEANS							
Production	268	288	271	284	267	289	283
Supply	322	346	294	310	294	318	311
Utilization	258	269	268	283	264	282	278
Trade	100	109	97	108	99	111	112
Ending Stocks	59	73	26	27	29	34	32

- **Soybeans** production in 2013/14 forecast trimmed by 6 million tonnes, mostly reflecting lower estimates for key South American producers on unfavourable weather.
- Utilization in 2013/14 to expand less than previously forecast, mirroring downward corrections in global supplies. Year-on-year (y/y) growth to remain at an above-average 5.3 %.
- Trade in 2013/14 raised slightly, with higher export forecasts for US and Brazil offsetting lower estimates for Argentina and Paraguay. Global trade to surge by 13 % from 2012/13.
- Stock forecast (2013/14 carry-out) adjusted downwards on revised crop prospects for South America, but still allowing a 10 % recovery y/y.

All totals (world estimates and forecasts) shown are computed from unrounded data. All changes, in absolute or percentage terms, are also calculated based on unrounded figures and accordingly reported in the supply/demand commentaries. Analysis presented in this report is largely based on information as of late February 2014. **Explanatory notes** and list of **sources** are available at the end of the report.

Crop Monitor (as of February 28th)*

Wheat: In the northern hemisphere, winter wheat conditions are favourable. Wheat is in early development stages and is mostly dormant. In **Ukraine** and **Russia**, conditions are good and the crop is in the dormancy phase. Following the extreme cold temperatures last month, unseasonably warm weather moved into southern regions of Ukraine and southern Russia, melting much of the snow cover which could increase their vulnerability to frost damage in the event of a drop in temperatures. To date, no wide-spread winter damage has been reported and an assessment of wintering and crop damage will be made at the end of dormancy. In the **EU**, conditions are variable. Western Europe has experienced a mild winter with very wet conditions. Central-Northern Italy and British Isles experienced exceptionally wet conditions leading to floods and widespread water logging. In the absence of drier conditions in coming weeks, winter crops may be locally severely impacted. Above average precipitation also occurred in western France and Spain with lower expected impacts. No significant frost damage is expected for winter cereals. **Canada** conditions are favourable. In the **US**, winter wheat is in good condition and planted area is slightly down relative to last season. Dryness across the Southern Plains is continuing to raise some concern over the dormant crop, particularly in areas that have experienced colder than normal temperatures and lack protective snow cover. However, no damage has been reported to date. In **Mexico**, conditions are favourable and unlike last year, the Northwest and Bajio regions have higher water availability. In **India**, wheat conditions are good and a bumper crop is projected due largely to an increase in planted area. In **China**, conditions are favourable for the dormant wheat crop.

Maize: In the southern hemisphere conditions are mixed. In **Argentina**, approximately 70 % of the crop is rated in good condition. Welcome and timely precipitation across the major growing regions helped to support crop development and harvest has begun in northern growing regions for the early planted crop. In **Brazil**, conditions are mixed and have been slightly reduced since last month due to dry hot conditions in south east and south central growing areas. Planting of the second crop is underway though is delayed in Mato Grosso due to wetness, which is delaying soybean harvest. Planted area for both the first and second crops is down, due to an increased area planted to soybeans. In **South Africa**, conditions are generally favourable. Over the eastern parts the season started early and above normal rainfall was received. Over the western parts, rain started late, followed by dry conditions during mid summer. However, conditions have improved markedly since last month. Due to the late start and earlier dry conditions a negative impact on yields is still expected. In **Mexico**, harvest of the fall-winter planted crop, which has good grain quality, is nearly complete and sowing conditions for the crop planted in the northwest are favourable.

Rice: Conditions are generally favourable. In **Indonesia**, conditions are favourable for the fall planted crops that are in the vegetative to reproductive stages depending on planting date. Moisture conditions are continuing to support the crop, and there is some concern in Java over excess moisture. In **Vietnam**, prospects for the fall-winter rice are slightly lower than last year due, in part, to cold weather in the north. The winter-spring rice season has started and conditions so far are favourable. In **Thailand**, planted area is down from last year particularly in the northern and central regions, the primary production area, where the crop is in the reproductive phase, delayed by approximately one month due to cold weather. Farmers are facing problems of insufficient natural water resources and irrigation is at minimal levels. In the northeast regions, conditions are good and the crop is approaching harvest. In **Brazil** conditions, are favourable and crop yield and area are projected to increase relative to last year.

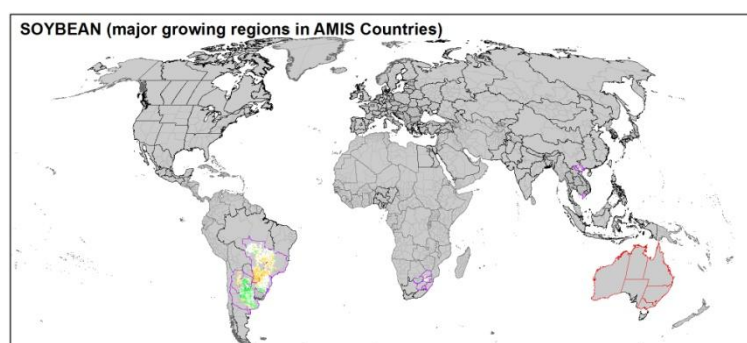
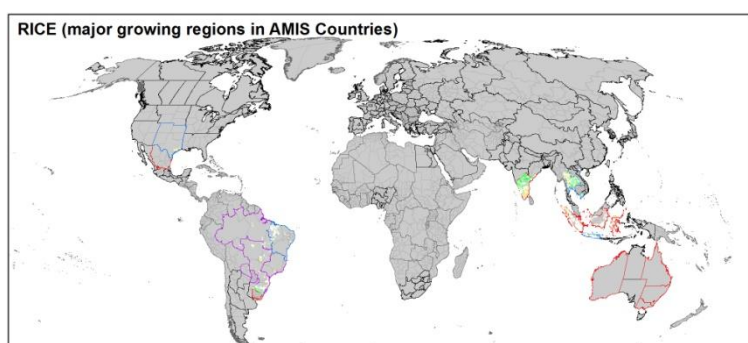
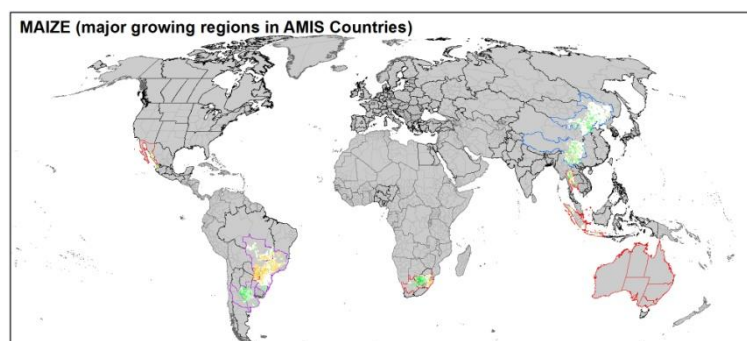
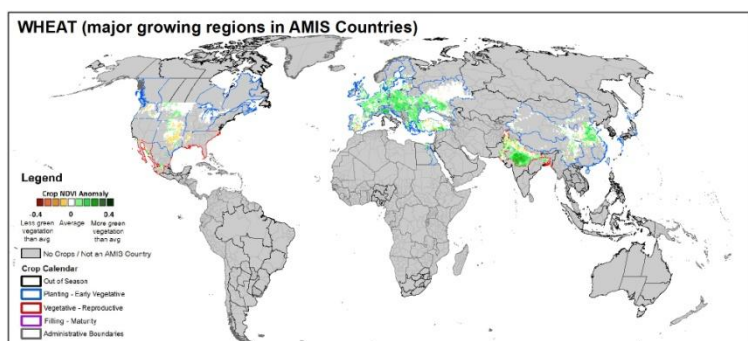
Soybeans: In the southern hemisphere conditions are variable. In **Argentina**, conditions are good with approximately 85% of the first crop in good condition, and approximately 75% of the second crop (planted after winter crops) in good condition. The recent rainfall helped crop conditions recover from last month's hot and dry conditions. In **Brazil**, conditions are mixed. They have deteriorated since last month due to excessive wetness in Mato Grosso and dry hot conditions in Parana. A bumper crop is still expected because area planted relative to last year was expanded significantly at the expense of maize. Harvest is currently underway although it is likely to be delayed in some areas due to wetness. In other parts of the southern hemisphere, conditions in **South Africa**, are generally favourable for supporting average yields. Hot and dry conditions during mid-January may have had a slight negative impact on yields.

*Crop Monitor is developed for AMIS by GEOGLAM. It summarizes latest conditions (as of February 28th) for AMIS crops based on regional expertise and analysis of satellite data, ground observations, and meteorological data. GEOGLAM aims at strengthening global agricultural monitoring by improving the use of satellite information for crop production forecasting. It is implemented within the framework of the inter-ministerial Group on Earth Observations (GEO). Both GEOGLAM and AMIS were endorsed by the G20 Heads of States Declaration (Cannes, November 2011) when GEOGLAM was tasked to "coordinate satellite monitoring observation systems in different regions of the world in order to enhance crop production projections and weather forecasting data." Within this framework, GEOGLAM is providing global crop outlook assessments in support of AMIS market monitoring activities.

Satellite-Based Vegetative Growth Anomalies

Based on Normalized Difference Vegetation Index (NDVI)

NDVI is an indicator of photosynthesis often used for monitoring croplands. These anomaly images compare the NDVI for February 28th, 2014 to the average NDVI for the same date from 2000-2013, over the main growing regions of the four AMIS crops. Orange to red indicates less green vegetation than average, green indicates higher than average vegetation. Administrative unit outline colours indicate crop growth stage: **Blue = Planting to early vegetative**, **Red = Vegetative to reproductive** (generally the most sensitive crop growth period), **Purple = Reproductive to maturity**, **Black = Areas out of season**. Note: only AMIS countries are highlighted.



Legend



Sources & Disclaimer

The Crop Monitor assessment has been conducted by GEOGLAM with inputs from the following partners (in alphabetical order): AAFC (Canada), CAS CropWatch (China), ARC (South Africa), ABARES/CSIRO (Australia), CONAB/INPE (Brazil), GISTDA (Thailand), EC JRC-MARS, FAO, ISRO (India), JAXA (Japan), ASIA RiCE, IKI (Russia), INTA (Argentina), IRRI, LAPAN/MOA (Indonesia), Mexico (SIAP), NASA, UMD, and USDA FAS/ USDA NASS (US), Ukraine Hydromet Center/NASU-NSAU (Ukraine), VAST/VIMHE (Vietnam).

The findings and conclusions found in this joint multiple-agency reporting are only consensual statements from the GEOGLAM expert group, and do not necessarily reflect those of the individual agencies represented by these experts. Map data sources: Main crop type areas based on the IFPRI/IIASA SPAM 2005 beta release (2013). Crop calendars based on FAO and USDA crop calendars. NDVI anomaly data produced by NASA/USDA/UMD based on NASA MODIS data.

More detailed information on the GEOGLAM crop assessments is available on:

www.geoglam-crop-monitor.org

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	February 2014 Average*	% Change	
		M/M	Y/Y
GOI	255	+ 2.6%	- 12.8%
Wheat	228	+ 1.8%	- 15.0%
Maize	230	+ 3.7%	- 24.6%
Rice	182	+ 1.8%	- 15.3%
Soybeans	268	+ 3.0%	- 4.2%

*Jan 2000=100, derived from daily export quotations

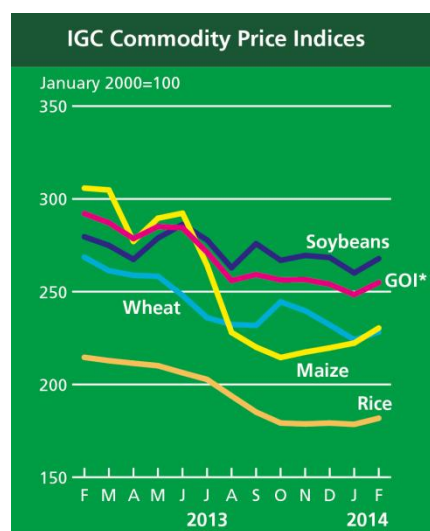
The IGC daily **Grains and Oilseeds Index (GOI)** averaged 3 % higher m/m in February, although it remains down 13 % y/y given the broadly favourable outlook for world supplies.

Wheat: World wheat export prices were mostly firmer during the month, with the average IGC GOI wheat sub-Index up 2 %. Gains were mainly sparked by strength in US futures, as a result of logistical issues and some concerns over conditions for the winter wheat crop, but were capped by ample nearby global supplies and generally good prospects for the next world harvest.

Maize: World maize export prices moved higher during February, including strong advances in the US and the Black Sea, with the IGC GOI maize sub-Index up by 4 % m/m. Robust export demand and occasionally slow producer selling were the key drivers. Nevertheless, with the outlook for world supplies still relatively comfortable, prices remain 25 % lower y/y.

Rice: Nominal quotations in Thailand jumped higher in late January as exporters were prevented from accessing old crop government inventories pending an investigation into perceived irregularities in the state paddy pledging scheme. The IGC GOI rice sub-Index consequently averaged 2 % higher m/m in February, although prices elsewhere drifted lower on limited buying interest and prospects for plentiful export availability in the months ahead.

Soybeans: The IGC GOI soybeans sub-Index increased by around 3 % m/m. Prices rose particularly sharply, to five-month highs, towards the end of February on heightened worries about adverse crop weather in South America, and lower than expected cancellations of purchases by China from the US, anticipation of which had triggered some fund selling in late January.

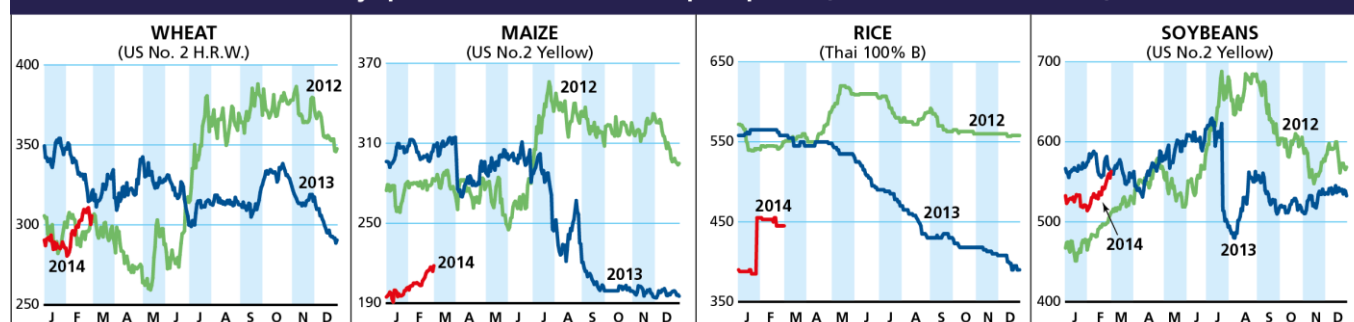


		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2013	February	292.1	268.6	305.8	214.6	279.6
	March	287.1	261.3	304.8	212.8	274.9
	April	278.6	258.8	277.1	211.4	267.4
	May	285.1	258.3	289.6	210.1	278.9
	June	284.4	248.0	292.3	206.3	286.2
	July	271.3	236.0	264.3	202.7	277.9
	August	256.0	232.3	228.0	193.8	262.9
	September	259.2	231.8	220.1	185.1	275.9
	October	256.3	244.5	214.5	179.2	266.9
	November	256.5	239.7	217.4	178.7	269.5
	December	254.0	232.1	219.7	179.2	268.4
	January	248.4	224.1	222.3	178.5	260.1
2014	February	254.9	228.2	230.4	181.8	267.8

*GOI: Grains and Oilseeds Index

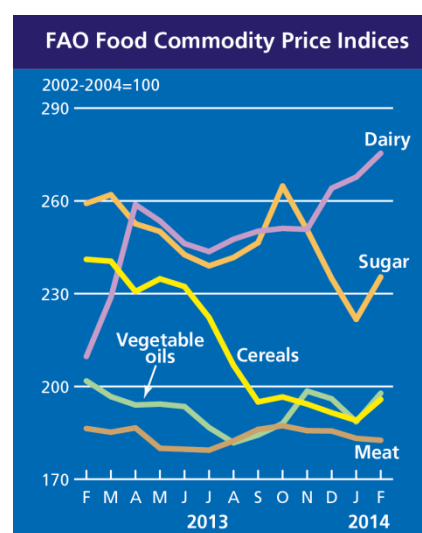
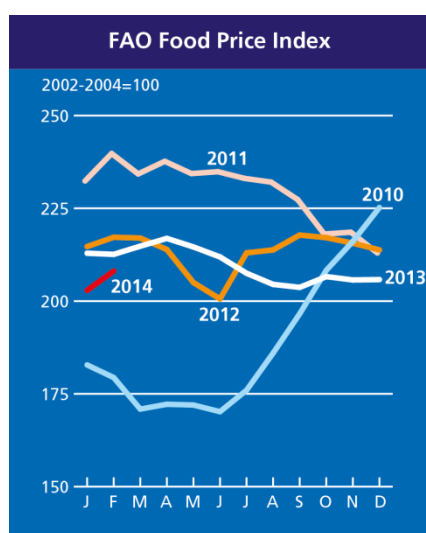
Selected Export Prices and Price Indices

Daily quotations of selected export prices (USD/tonne, 2012-2014)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	03-Mar	315	310	286	315	1.5%	-0.2%
Maize (US No. 2, Yellow)	04-Mar	223	217	205	308	2.8%	-27.5%
Rice (Thai 100% B)	03-Mar	445	445	453	558	0.0%	-20.3%
Soybeans (US No. 2, Yellow)	03-Mar	560	552	523	567	1.4%	-1.2%



FAO food price indices

		Food Price Index	Meat	Dairy	Cereals	Oils and Fats	Sugar
		(..... 2002-2004 = 100)					
2013	February	212.6	186.4	209.7	241.1	201.8	259.2
	March	214.8	185.2	228.8	240.5	196.7	262.0
	April	216.9	186.6	258.8	230.7	194.0	252.6
	May	214.6	180.0	253.5	234.8	194.3	250.1
	June	211.9	179.7	246.2	232.3	193.5	242.6
	July	207.5	179.4	243.6	222.3	186.7	239.0
	August	204.5	182.4	247.6	206.8	181.8	241.7
	September	203.7	186.1	250.2	195.0	184.3	246.5
	October	206.6	187.3	251.1	196.6	188.0	264.8
	November	205.7	185.7	250.8	194.3	198.5	250.6
	December	205.8	185.6	264.1	191.5	196.0	234.9
	2014	January	202.9	183.2	267.7	189.0	188.6
February		208.1	182.6	275.4	195.8	197.8	235.4

Policy Developments

- A major development in domestic policies in February was the signature into law of the 2014 Farm Bill of the **United States**. The Bill ends a number of programmes, including the Direct Payments Program (DPP), the Countercyclical Payments Program (CCP), the Average Crop Revenue Election (ACRE) and the Supplemental Revenue Assistance Payments (SURE) Programs, strengthens crop insurance, and encourages innovative risk management approaches that limit the provision of assistance to producers to risks outside their control.
- **Japan's** agricultural reform plan that was announced in December 2013 foresees the phasing out of two income support for rice and the production adjustment scheme which has been in place for 40 years.
- As part of the soybean production support scheme of **Indonesia**, the government-set farm gate price has been raised by approximately 7 % to IDR 7500 per kg (USD 630 per tonne) during January-March 2014. In **China**, the National Development and Reform Commission announced in February that the 2014 minimum purchase prices for rice will be boosted from the 2013 levels, including for early rice up CNY60, to CNY 2700 per tonne (USD 445), for mid- to late rice up CNY 60, to CNY 2760 per tonne (USD 455), and for japonica up by CNY 100, to CNY 3100 per tonne (USD 512).
- Intervention purchases of grains in **Russia** were completed for marketing year 2013/14. The target volume for rice procurement in **Indonesia** in 2013/14 was raised by about 6 % to 3.85 million tonnes. **China** and **Kazakhstan** sold wheat from state reserves and **Thailand** continued sales of rice from state stocks at lower prices.
- With regards to trade measures, the Korea Australia Free Trade Agreement was concluded in February 2014. When it enters into force, a number of Australian exports of agricultural products to Korea, including wheat and malting barley, will benefit from improved market access conditions.

Futures Markets

Futures Prices

	% Change		
	February 2014 Average	M/M	Y/Y
Wheat	350	+1.4%	-10.4%
Maize	176	+4.7%	-36.8%
Rice	344	+0.2%	-1.5%
Soybeans	496	+4.1%	-7.4%

Source: CME

Historical Volatility – 30 Days

	Monthly Averages		
	February 2014	January 2014	February 2013
Wheat (Nearby)	22.1%	15.8%	14.6%
Maize (Dec)	16.8%	18.9%	13.8%
Rice (Nearby)	10.0%	10.9%	17.7%
Soybeans (Jan)	14.9%	14.4%	14.4%

Prices

Wheat, maize and soybean prices increased m/m between 1 % and 5 % while rice was almost unchanged. A prolonged cold weather corridor over the central US caused feed estimates for maize to increase while creating some crop uncertainty for winter wheat. In its February report, the USDA also reduced its US wheat and maize ending stocks estimates due to strong global demand. In addition, political uncertainty in the Black Sea region supported wheat and maize price levels. Finally strong positive ethanol margins are causing increased maize demand. Soybean prices rose in sympathy with other markets and on reports of heavy downpours in Brazil's largest producing states where harvest is about 50-70 % complete. Further, producer holding in US is causing interior basis levels to exceed futures prices in several areas, lending support to nearby futures prices.

Volumes and Volatility

Implied volatility showed little change for maize and soybeans, while rising slightly for wheat. Volumes fell slightly for maize and soybeans, while rising for wheat. Volumes y/y are 15-25 % lower than in the same period last year.

Forward curves

As prices for wheat, maize and soybeans rose, so did nearby months relative to back months. Soybeans remain in a pronounced backwardated structure of approximately USD 90 per tonne from nearby March to November 2014, reflecting very low estimates for ending stocks to use ratio.

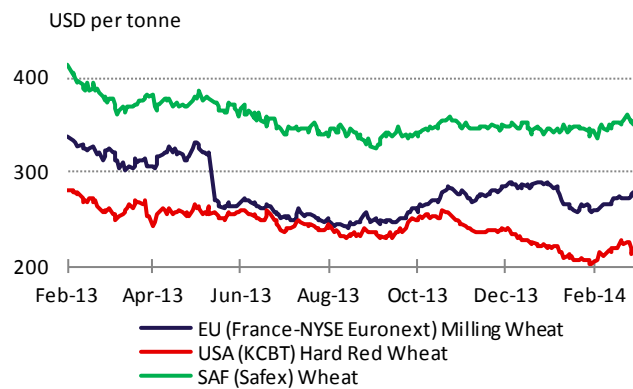
Investment flows

Managed money reduced its net short position in wheat and reversed its net short position in maize to net long by buying a significant quantity (140,000 contracts or 18 million tonnes) as prices rose. It also added to its net long position in soybeans, now comprising 28 % of soybean Open Interest. Swaps dealers added slightly to their net long holdings in wheat while reducing net longs in maize and soybeans.

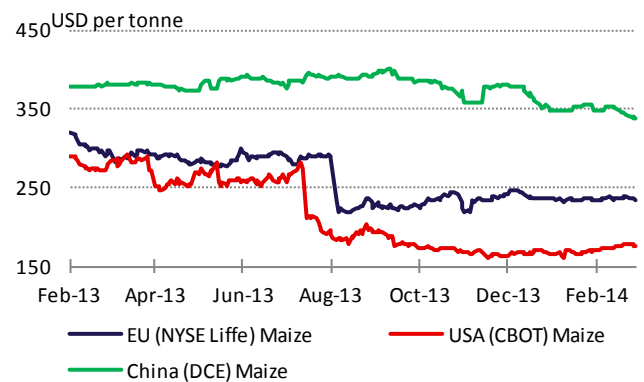
Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

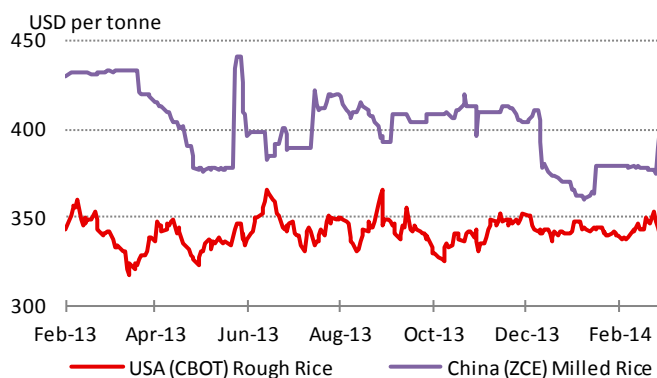
Wheat



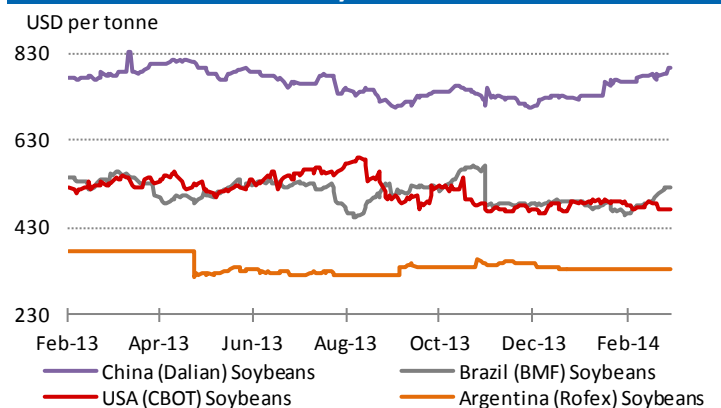
Maize



Rice

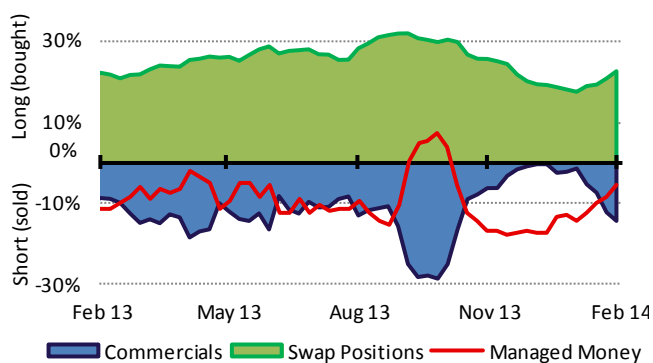


Soybeans

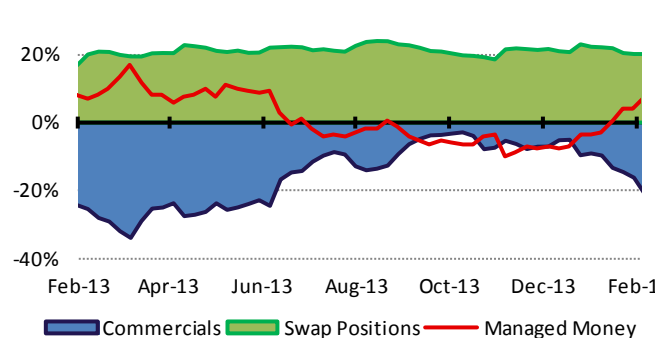


CFTC Commitment of Traders - Major Categories Net Length as % of Open Interest**

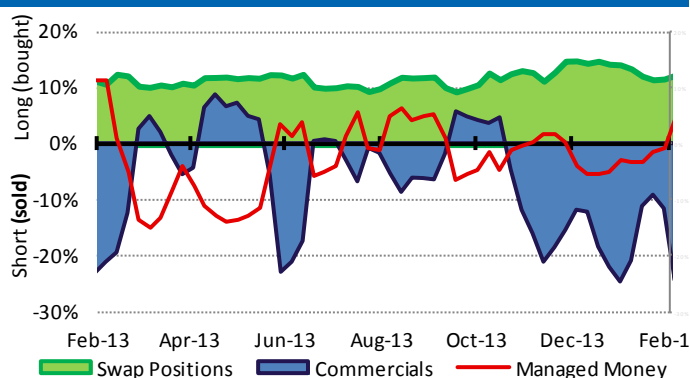
Wheat



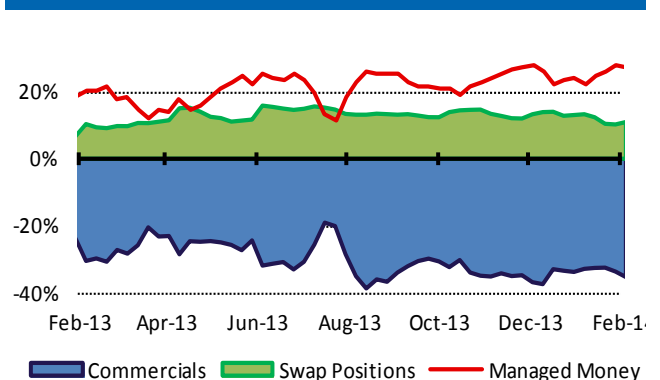
Maize



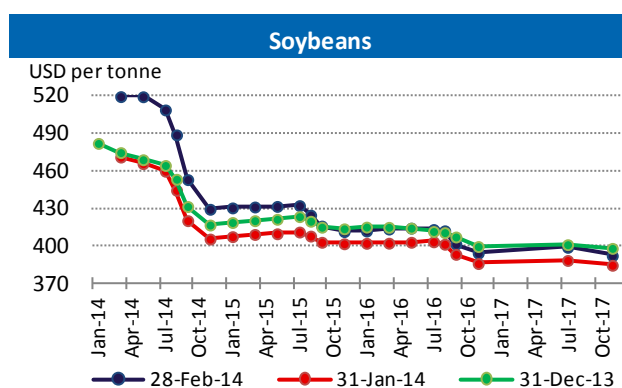
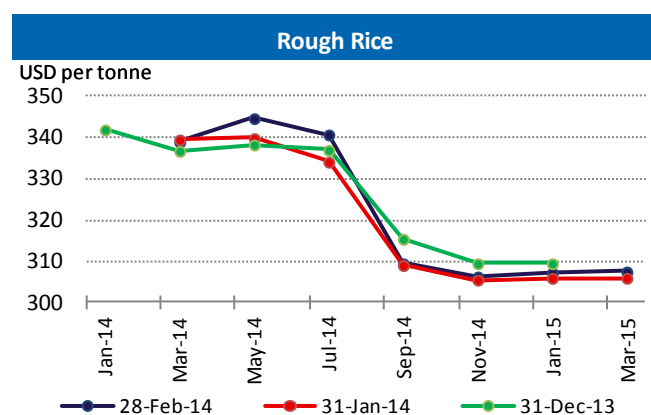
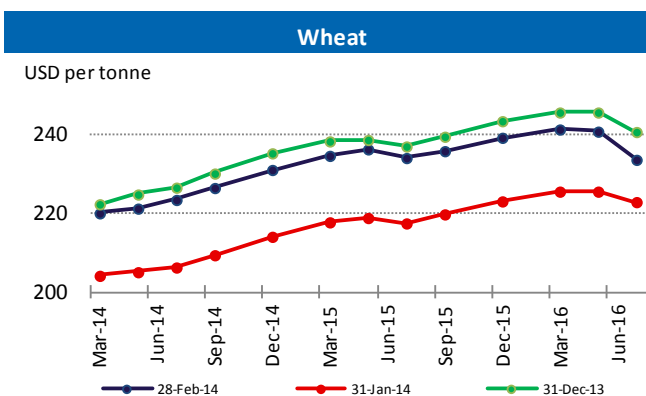
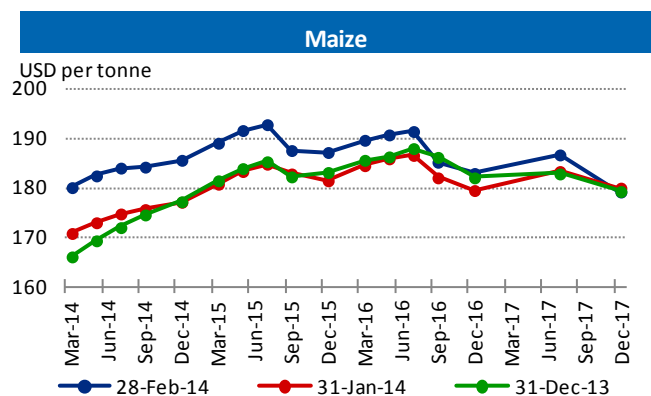
Rough Rice



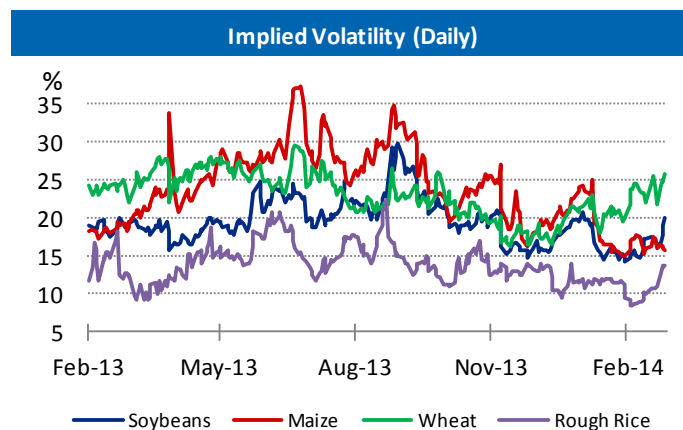
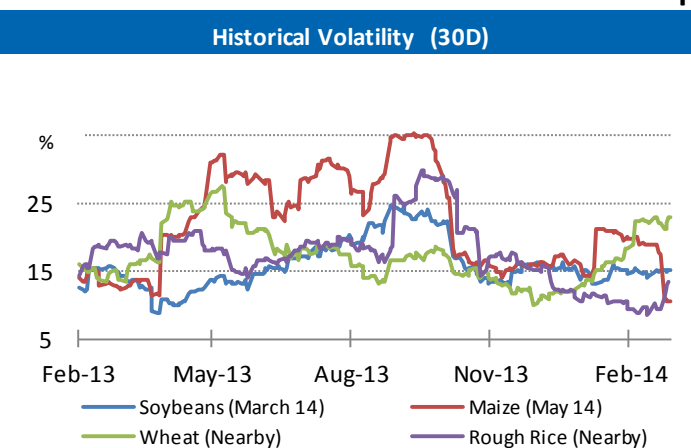
Soybeans



Forward Curves



Historical and Implied Volatilities



AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Explanatory Notes and Calendar

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by USDA, IGC and FAO. They may vary for many reasons, but mainly because of different methodologies and release dates.

FAO-AMIS: World estimates and forecasts are based on information received from AMIS countries as well as FAO data.

Dates: Refer to the release date of the data from the selected sources: FAO, IGC, and USDA.

Production: Cereal production data refer to the calendar year of the first year shown. Rice production is expressed in milled terms. Soybeans production data refer to the split (i.e. 2013/14) season.

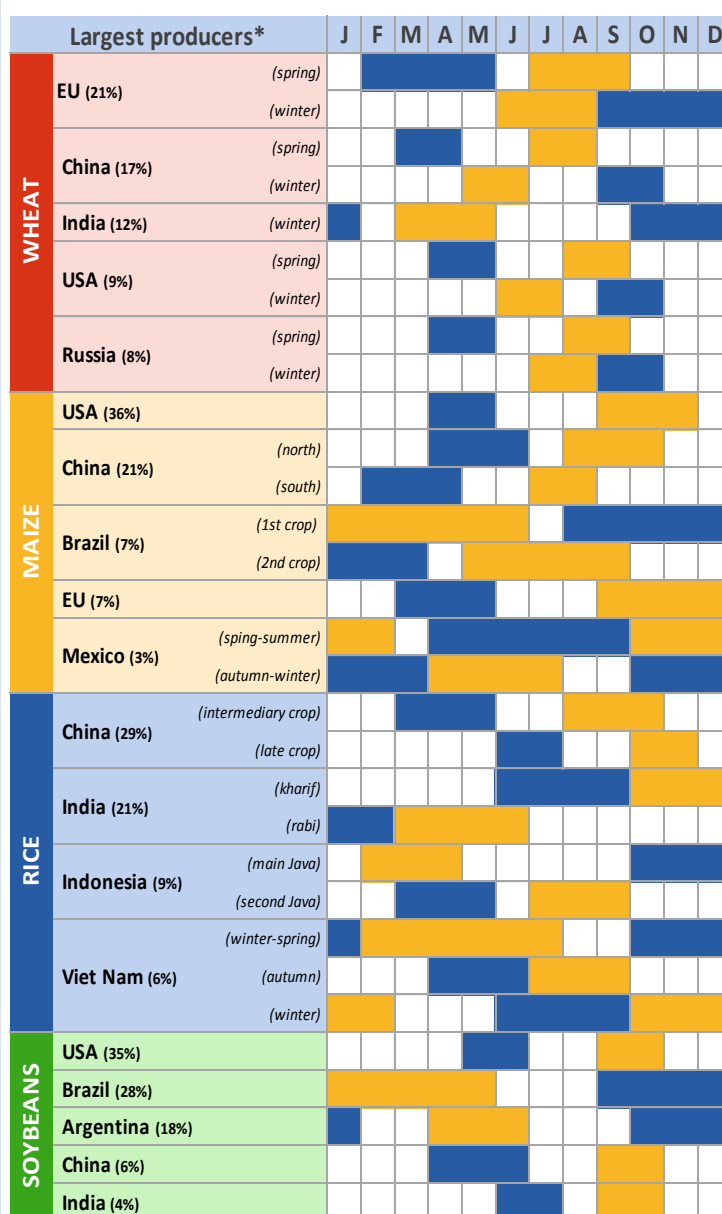
Supply: Defined as production plus opening stocks.

Utilization: For wheat, maize and rice utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: Data is calculated as the aggregate of carry-overs at the close of national crop seasons ending in the year shown.

AMIS Crop Calendar



* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

2014 Release Dates

06 February, 06 March, 03 April, 08 May, 05 June, 03 July, 11 September, 09 October, 06 November, 04 December

Contacts and Subscriptions

AMIS Secretariat

Email: AMIS-Secretariat@fao.org

Download the AMIS Market Monitor or get a free e-mail subscription at :

<http://www.amis-outlook.org/amis-monitoring>